

Deal Status Report

Week of July 8, 2026 • Prepared by Grant Sapkin • For Kenny & Michael Motew

2323 W Grand Ave		
Stage: Closed Won — Closing Docs Under Seller Review Value: \$17.8M Counterparty: Bogdan Popovych		
Headline: Closing documents went out Tuesday evening after a week of follow-ups from Bogdan — "Received. Will review and get back to you tomorrow" (per Bogdan 7/7). His response is expected today. Lender and equity decisions remain open — see Decisions Needed.		
TASK	STATUS	NOTES
Closing documents — seller review	● Waiting on Others	Docs delivered 7/7 evening; Bogdan reviewing, response expected 7/8. He had chased 7/1, 7/6, and 7/7 before delivery.
Lender decision — acquisition financing	● In Progress	Flagged for Kenny/Michael decision in CRM.
Equity raise — source TBD	● In Progress	Flagged for Kenny/Michael decision in CRM.
Zoning — confirm current + proposed	● In Progress	Zoning attorney contact in hand (Fred Agustin, Sam Banks Law, rec'd from Bogdan 7/1).
Insurance — GL coverage for land	● Waiting on Others	West Bend or standalone.
LLC name confirmation	● In Progress	With Kristin Dunlap.
Recently completed: ✓ Closing docs delivered to seller side 7/7 ✓ Zoning attorney contact received (7/1)		

222 S Morgan St

Stage: Closed Won 6/30 — Post-Close Transition | Value: \$13.8M | Counterparty: Aaron Anovitz

Headline: Second week post-close. Transition with Aaron's team continuing — rent true-up, utility/internet accounts, keys and files, and first tenant conversations underway.

TASK	STATUS	NOTES
July rent true-up with seller	● Waiting on Others	~\$21K collected, ~\$4K expected (Illinois Safety, CMR Law); All Belgium out owing May/June. Aaron's question open: cut check now or after final payments (per Aaron 7/2).
Utilities & internet switchover	● In Progress	Peoples Gas + ComEd switched at close. Zentro internet (cameras + directory board) cancelled by seller — assume or let lapse, ~\$150/mo, paid through the month (per Aaron 7/2).
Keys & building files handoff	● In Progress	Pickup with Bob being coordinated; full vendor + tenant contact list received 7/1.
Tenant outreach	● In Progress	Talked to The Everygirl Media and Sparacino CMR Law (Grant, 7/6).
Tenant access follow-up — 3D, 2C, 2D, 4D	● In Progress	Building scans for remaining suites still waiting on tenant access.
PIN consolidation filing	● In Progress	Filing in process.
Entity docs — trailing items	● Waiting on Others	Amended LLC Agreement + FEIN letter trailing from attorney.

Recently completed: ✓ Closed 6/30 — \$3.45M equity funded, 75/25 LP/GP ✓ Vendor + tenant contact list received ✓ First tenant conversations held

950-952 N Noble St

Stage: Closed Won — Post-Close | Value: \$1.57M | Counterparty: Wayne Caplan (SVN)

Headline: GC walk-through of the greystone is this morning — Wednesday 10:30 AM, Lee (312-882-5185) opening the building and out by 11; coach house skipped per Kenny (per Wayne 7/6). Attorney docs (revised rider, redline, current rent roll) circulated by Gina at Latimer LeVay 7/1.

No open tasks tracked in the CRM for this deal.

3639 N Broadway

Stage: Pre-DD + PSA | Value: \$5.0M | Counterparty: Steve Frisch (Mid-America)

Headline: No movement this week (second consecutive quiet week). Open from prior weeks: Byline accepted \$5M but wants original 45/30-day periods vs. the 6–9 month approval window; the 59-unit upzone scenario vs. 24 as-of-right remains the basis lever to run with Kenny & Michael.

No task or update activity recorded in the CRM July 1 – July 8.

224 N Desplaines St

Stage: Screen + Underwrite | Value: \$26.5M all-in | Counterparty: Eric Weber (Cubed CRE)

Headline: Latest model sent to Eric 7/7; his read this morning: "Wow — this got meaningfully better" — but he is openly skeptical of the 31% expense ratio ("I'd be absolutely astonished if you could operate this for a 31% expense ratio"). Substantiating opex with portfolio data is now the credibility item.

TASK	STATUS	NOTES
Expense ratio substantiation	● In Progress	Eric challenging the 31% ratio (7/8). Brandon (asset mgmt) pulling stabilized 30–50+ unit portfolio comps to prove 32–33% is achievable.
Basement SF verification	● Waiting on Others	GBA gap (85,652 vs 69,288 SF) — awaiting Chris's measured basement SF; whether \$185/SF hard cost applies to basement is the follow-on (\$16M of \$26M rides on hard costs).
Bottoms-up soft + interest costs	● In Progress	Eric requested bottoms-up soft + interest build at a 6.3% rate after his call with Michael (7/1); latest model iteration delivered 7/7.

Recently completed: ✓ Updated Desplaines model delivered to Eric 7/7 ✓ Model quality materially improved per Eric 7/8

222 W Ontario St

Stage: Screen + Underwrite | Value: Subject to Offer | Counterparty: David Aloush / Frontline (Andrew Rubin)

Headline: Real movement: Frontline sent the OM, rent roll, conversion financial model, and an architectural test fit — **63 units** with first-floor residential (per Andrew Rubin 7/7, via Eric; Michael cc'd). Their model uses \$200/SF building cost (client building at ~\$190). Alternative: keep retail — swap ~\$27.8K/mo first-floor resi income for ~\$40K/mo retail + tax recapture. Unit-yield denominator now exists for the Rule 6 basis test; still no ask price, so basis discipline holds — no architect spend yet.

TASK	STATUS	NOTES
Review Frontline package	● In Progress	OM, rent roll, conversion model, 63-unit test fit received 7/7. Building tour offered.
Price discovery	● Working on it	Still "Subject to Offer" — land-basis test (\$150K/door ceiling; ~\$9.45M at 63 units) can't clear until a number exists.
Retail vs. full-resi scheme	● In Progress	Compare 63-unit full conversion against retail-keep scenario (+\$12K/mo income swing + tax recapture).

Recently completed: ✓ Frontline diligence package received 7/7 — first real unit-yield data point (63 units)

3735 W Belmont Ave

Stage: PASSED | Value: \$1.03M ask | Counterparty: David Kaplan (Strauss)

Headline: Passed — post-mortem logged in the CRM this week (7/2). 20-unit + retail ARO redevelopment penciled at ~4.3% yield-on-cost vs. the 6%+ target (~\$3.5M cost-to-value gap); Avondale rents can't carry \$325/SF hard costs despite excellent land basis (~\$47.5K/door). Lesson recorded: screen ground-up on yield-on-cost before the full waterfall.

Decisions Needed — Kenny & Michael

- **2323 W Grand — Lender decision (acquisition financing):** still flagged open in the CRM with closing docs now under seller review — timing is tightening.
- **2323 W Grand — Equity raise (source TBD):** equity source remains undetermined and is flagged for your input.